

Table 13. AUDIT REPORT OF THE FEDERAL DEPOSIT INSURANCE CORPORATION FOR THE FISCAL YEAR ENDED JUNE 30, 1956—Continued

Exhibit 2. FEDERAL DEPOSIT INSURANCE CORPORATION, STATEMENT OF INCOME AND DEPOSIT INSURANCE FUND FOR THE FISCAL YEAR ENDED JUNE 30, 1956

Deposit insurance assessments		\$ 155,141,790
Deduct net assessment income credits due insured banks (note 1)		87,741,613
		67,400,177
Income from U. S. Government securities		41,517,468
Other income		33,578
		108,951,228
Deduct:		
Administrative and operating expenses:		
Salaries	\$6,273,334	
Travel	1,607,925	
Rents and utilities	421,416	
Other	570,691	
	8,873,366	
Nonrecoverable deposit insurance expenses	103,593	8,976,959
		99,974,264
Add reduction in estimate for deposit insurance losses on acquired banking assets:		
Reduction in loss estimate on prior year cases	448,232	
Loss estimate on case acquired during the year	144,769	303,463
Net income for year transferred to deposit insurance fund		100,277,727
Deposit insurance fund, June 30, 1955		1,590,540,667
Deposit insurance fund, June 30, 1956 (note 2 and exhibit 1) ...		\$1,690,818,394

The notes on the following pages are an integral part of this statement.

NOTES TO THE FINANCIAL STATEMENTS—JUNE 30, 1956

1. Section 7(d) of the Federal Deposit Insurance Act (12 U.S.C. 1817(d)) provides that, as of December 31, 1950, and as of December 31 of each year thereafter, the Corporation shall credit pro rata to the insured banks 60 percent of the net assessment income (as defined by the act) for the calendar year, the credit to be applied toward the payment of assessments becoming due for the semiannual period beginning the next July 1 and any excess credit to be applied to the assessment of the following period.

At June 30, 1956, the net amount due the banks for credits computed on the net assessment income for calendar year 1955 and on adjustments of such income for prior years was \$85,409,716. The actual amount of credit due the banks from calendar year 1956 net assessment income is not determinable until after December 31, 1956. However, an estimated credit for the first 6 months of 1956 has been computed to be \$44,387,963.

2. At June 30, 1956, the deposit insurance fund of \$1,690,818,394 was equivalent to 1.48 percent of the insured deposits in all banks, estimated by the Corporation at \$114.6 billion dollars. This fund, however, is not a measure of the deposit insurance risk, and its adequacy to meet future losses will depend on future economic conditions which cannot be predicted. From its inception to June 30, 1956, the Corporation disbursed about \$338,000,000 in protecting depositors of 429 insured banks and facilitating the termination of liquidations, on which incurred losses amount to \$28,083,613, including estimated losses of \$8,346,249 on cases not terminated.

Existing law does not specify either the amount or the ratio of insured deposits to which the insurance fund is to be accumulated.

The Corporation may borrow from the United States Treasury, at interest, such funds as in the judgment of the board of directors of the Corporation are required from time to time for insurance purposes, not exceeding, in the aggregate, three billion dollars outstanding at any time. The Corporation has never used this borrowing power.

3. In accordance with the law, the Corporation has not borne the Government's share of the cost of providing retirement, disability, and compensation (including unemployment) benefits for the employees of the Corporation. These costs are estimated to be approximately \$285,000 for the fiscal year 1956.

4. The securities owned by the Corporation at June 30, 1956, with a face value of \$1,815,200,000, were held in safekeeping by the Treasurer of the United States (\$1,157,700,000) and by the Federal Reserve Bank of New York (\$657,500,000). The cash balance (\$2,562,146) of the Corporation at that date included \$2,353,439 deposited with the Treasurer of the United States.